

Fearnleys Tanker Market Wrap-up Aug 2025

Aug 29, 2025

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Some unanswered questions will determine market strength

Summary and outlook

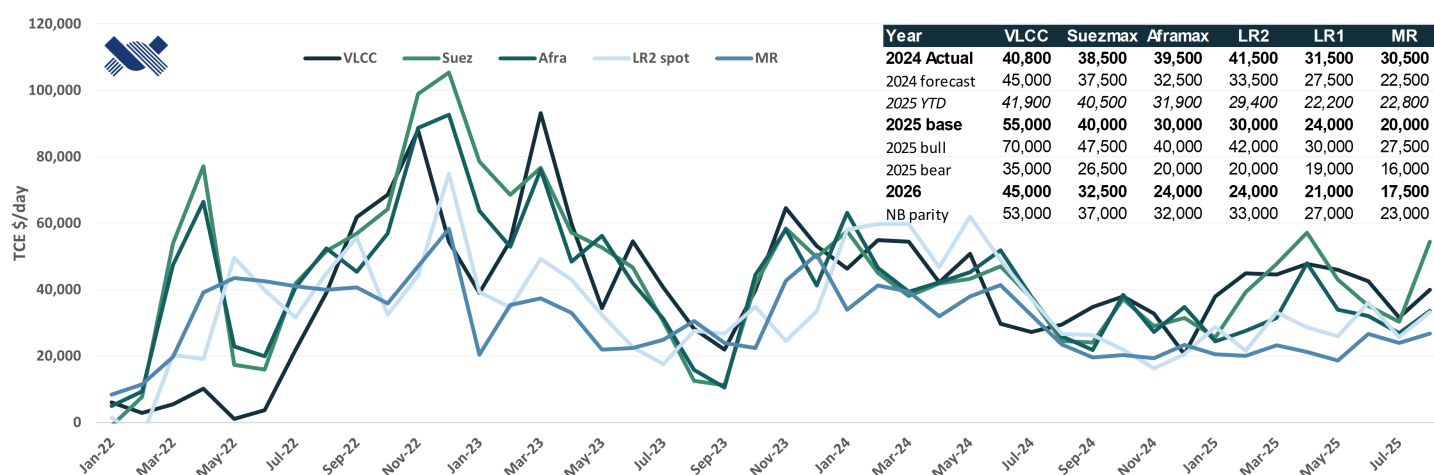
While volumes and tonne-miles have moved sideways over the last months, rates have strengthened. This can be partly ascribed to a change in sentiment, and tighter position lists - on dry dockings and congestion. Arguably, rates are ahead of observed fundamentals. So, is this an early start of the seasonal upturn, the start of a fundamentally stronger shift, or a flash in the pan?

We will explore a few key questions about the oil and tanker market, which may decide whether the coming winter market will be a decent or a strong one:

- Oil market balance: vast production hikes are likely to give well oversupplied oil market - what is the next OPEC+ move?
- What happens to Russian (and Indian) flows?
- What implications does the above have for West-East flows?

Beyond the winter, with fleet growth surging and crude oil production growth slowing, there will likely be softening rates over the next two years.

Tanker rates and forecast

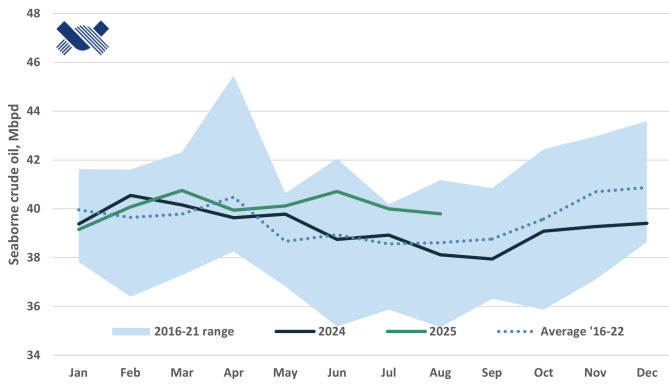


Source: Fearnleys, Baltic Exchange

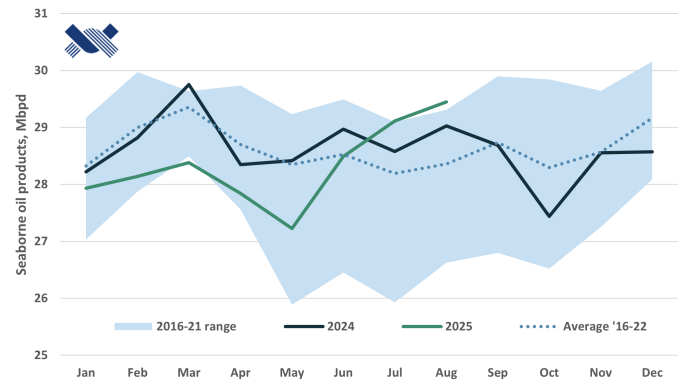
Volumes have remained flattish the last couple of months, contrary to the normal seasonal downturn. This has been helped by OPEC+ production cut unwind which offsets the increased direct burn in the MEG this time of year. In coming months, MEG exports may rise by up to 1 mbpd on the back of these production hikes, while non-OPEC+ may add another about 0.5 mbpd, which is a bullish backdrop for tanker demand.

Next year, however, even assuming that the OPEC+ maintains production at current targets, there may be very little production growth. The IEA expects only 0.2 mbpd more to come from non-OPEC+.

Seaborne crude oil volumes (ex. Iran)



Seaborne oil product volumes (ex. Iran)



Source: Vortexa

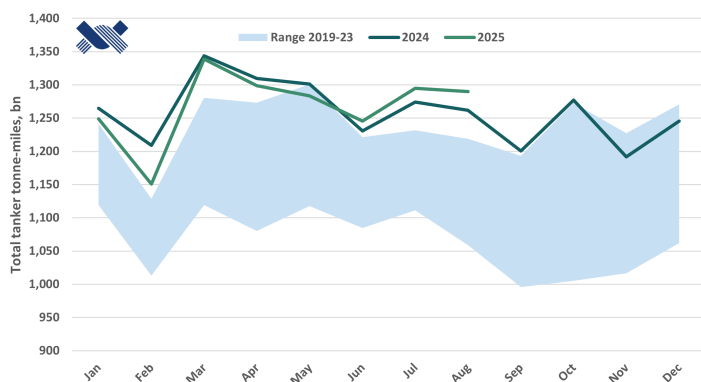
Recent demand does not match current rate strength

Compliant tonne-miles YTD including run-rate for August are slightly lower y/y, and quite a bit lower than at the peak in March/April. In other words still good for this time of the year, with upside potential when OPEC+ unwind starts hitting the water, as does new volumes in South America. Where these Atlantic volumes end up will have a meaningful impact on whether earnings will be good this winter or great.

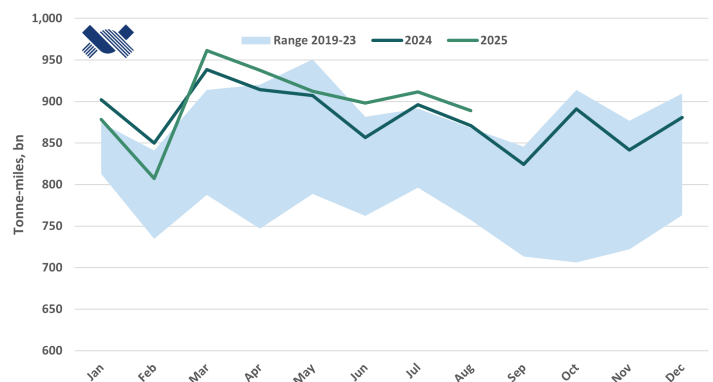
In the last few weeks amid the Russia-Ukraine uncertainty and Trump's added tariffs on India, there has been some more Asian buying of Atlantic barrels - probably as a precaution. However, the only tangible reports thus far suggest India will 'only' lower imports from Russia by about 200 kbpd - there are even reports that buying for September loading may increase again after a slower August. This means the recent rush to buy spot barrels from elsewhere could lead to less buying going forward. With the solid bump in MEG availability, there is at least on paper a risk that we may not see a (continued) increase in Atlantic- Asia flow. Dubai and Murban prices have surged recently, which has supported the West-East arb. but may be overdone.

Position lists have been wanting lately, which combined with the recent uptick in Atlantic-East has produced higher rates. However, some of the tightness is a result of elevated dockings - for instance we currently count 27 VLCCs in drydock. At some point in coming weeks, these will exit...

Total tanker tonne-miles (Ex. OFAC) -0.4% YTD

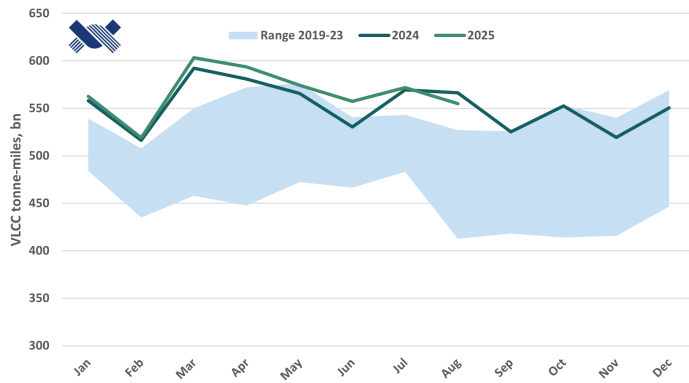


Crude tanker tonne-miles (Ex. OFAC) 0.8% YTD

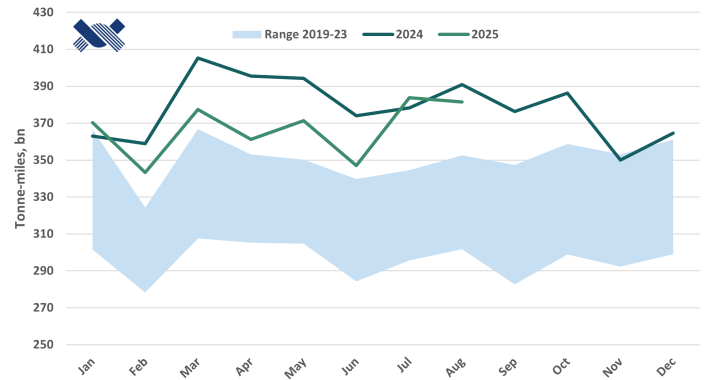




VLCC tonne-miles (Ex. OFAC) 1.3% YTD



Product tanker tonne-miles (Ex. OFAC) -4.1% YTD



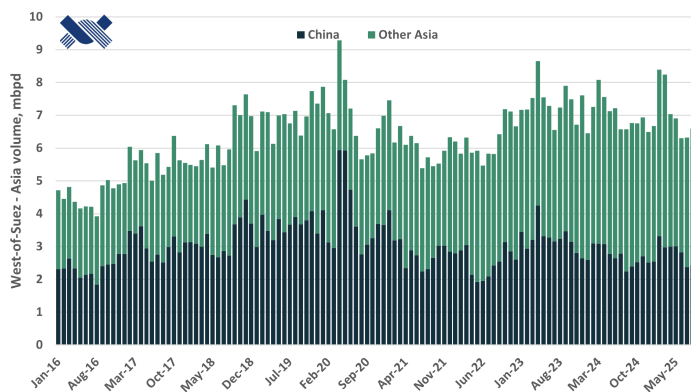
Source: Vortexa, Fearnleys, OFAC

Atlantic-East flows have been relatively low the last few months, with an unattractive arbitrage over the summer. This has changed during the last few weeks, however, and we see a noticeable tick-up in September USG VLCC fixtures, supporting VLCC tonne-miles and rates. On the flipside, this means less volume available for Suez- and Aframax in September vs. August.

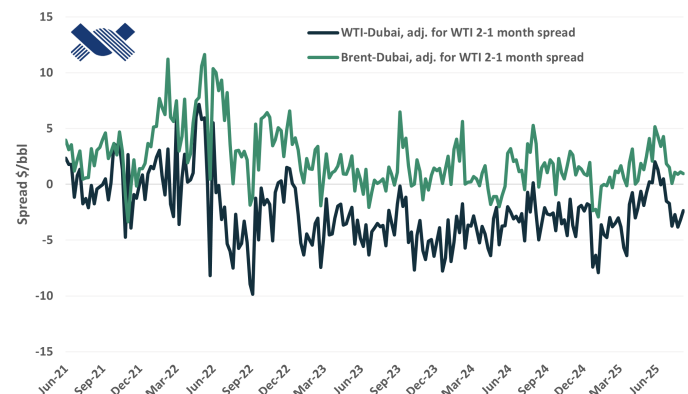
Whether this will be sustained hinges on the strength of seasonal demand upturn in Asia, whether Indian refiners will continue to shy away from Russian crude oil, and whether U.S. inventories will continue to draw to support strong domestic demand AND continued high exports.

There is now a contango in the first three weeks of the Brent CFD structure. If this builds further into the futures curve, it could be supportive for long-haul freight - with the caveat that it may also lead inventories in Europe and the U.S. to start building.

Atlantic-East flow by destination



WTI/Brent-Dubai spread, adj. for 2-1 month fwd. spread



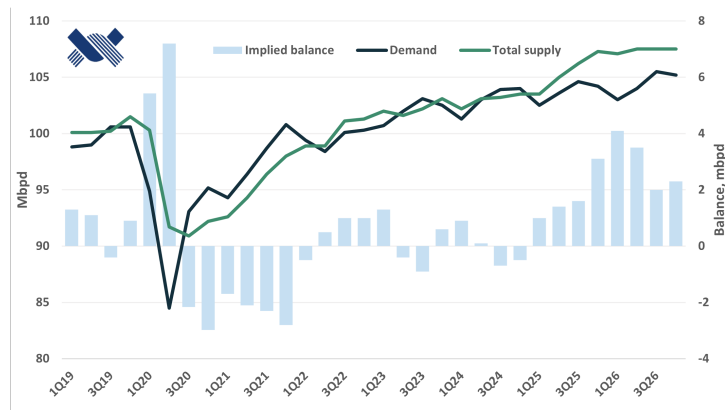
Source: Vortexa, Fearnleys, Bloomberg

Oil market oversupply building

Judging from energy agency forecasts there will be a massive oversupply building going forward. Observed global inventories have built by 190 mb in the first half of the year, or about 1 mbpd - slightly shy of the IEA's implied balance for the first half. For the second half the agency expects 2.3 mbpd oversupply, building to 3 mbpd next year. Now, although the IEA may be a bit too optimistic on supply and too pessimistic on demand, something might have to give, as this

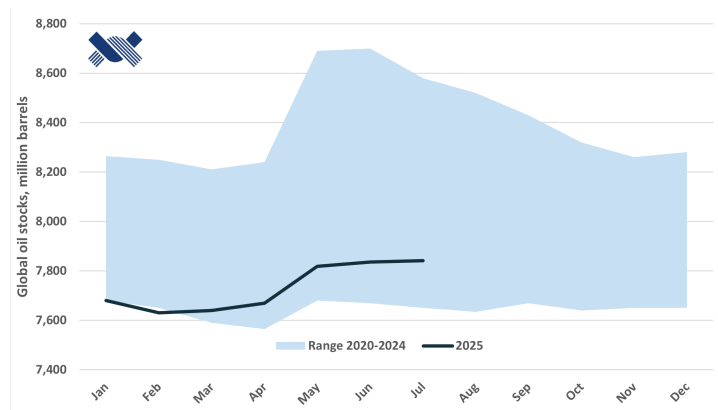
still implies much lower oil prices which will likely take its toll on supply (although potentially boosting demand). An important question is how much lower oil prices the OPEC+ will tolerate. And for how long. There is a non zero chance that the group may cut into next year unless demand materially picks up.

IEA implied oil market balance suggest huge builds



Source: IEA

Global oil inventories have built by 190 mb YTD

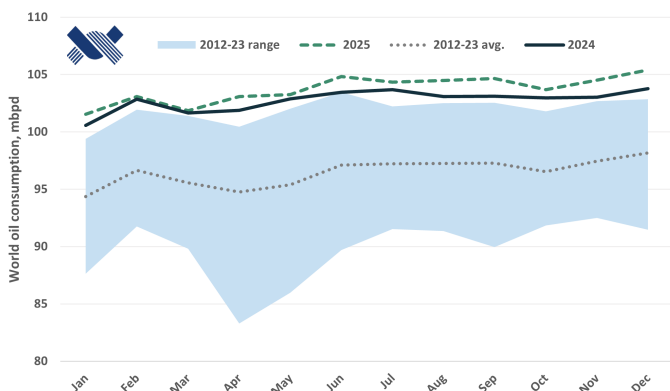


Can Asian demand pull in more crude?

Another important question is how strong will Asian demand be toward year-end. There is a large divergence between the energy agencies, where the IEA expects that oil demand will rise by 0.7 mbpd from September to December, while the EIA expects 2.2 mbpd.

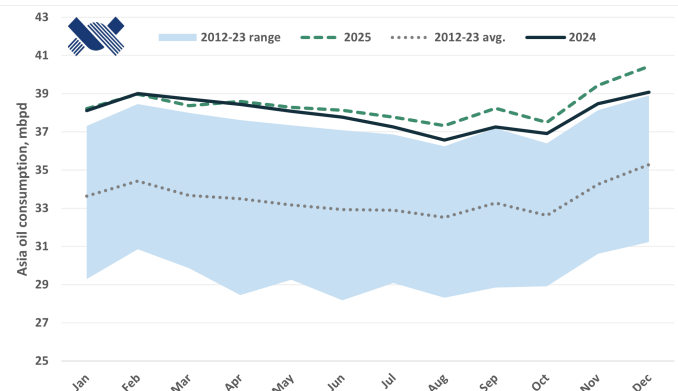
So far this year, Asian demand has underwhelmed vs. expectations, with the IEA's latest 1H'25 estimate being 0.5 mbpd lower than it was at the beginning of the year. Hence, the IEA's trajectory for the remainder of the year might look more realistic unless activity drastically picks up. If the IEA is right, there is plenty of available crude oil to meet incremental demand from the Middle East given the OPEC+ cut unwind, which suggests less potential for long-haul trade than in the EIA trajectory.

Global oil demand season



Source: EIA

Asian oil demand season

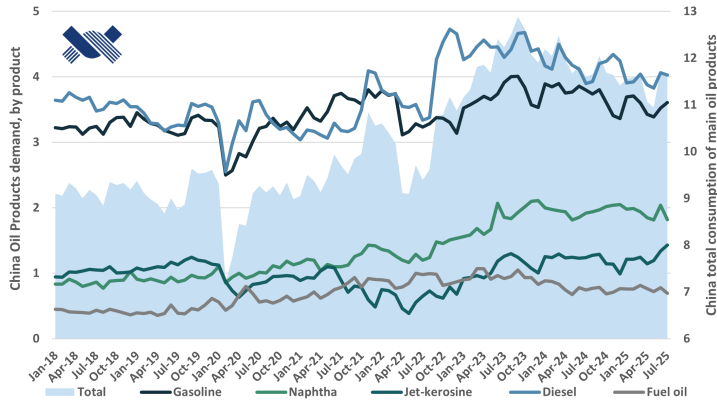


Chinese demand has disappointed vs. expectations YTD. After a brief recovery in June, Chinese apparent main oil products demand declined in July, and was marginally lower than the same month one year ago (nearly 6% lower than 2023). The YTD average is 4.4% lower than the same period last year. Refinery runs are up 1.8% on average, and crude oil imports up 1.7%. Crude oil inventories have built by nearly 100 mb from the January low, and products exports have

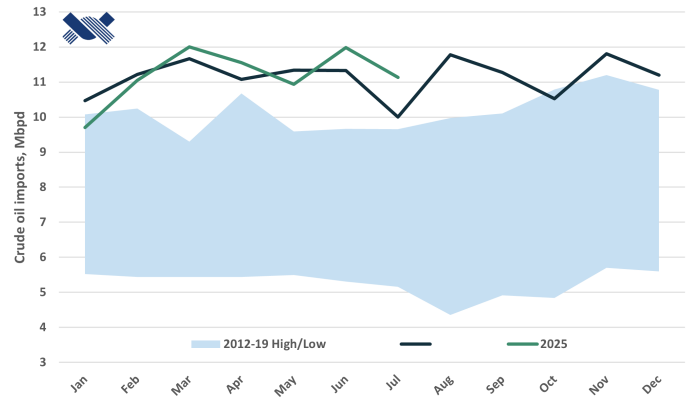
started to increase recently. This is all in line with recent Chinese oil company statements suggesting sluggish domestic demand.

A recovery may be needed soon for import demand to remain high - the recent apparent demand level is on par with the second half of last year which was considered very disappointing and one of the reasons for a lacklustre second half for the tanker market... Further SPR builds may add some support.

China apparent main oil products demand



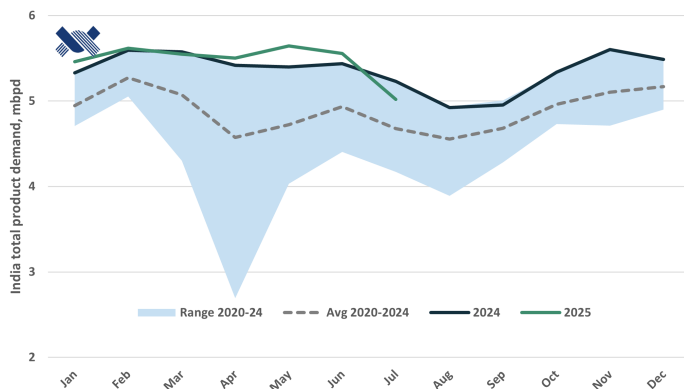
China crude oil imports



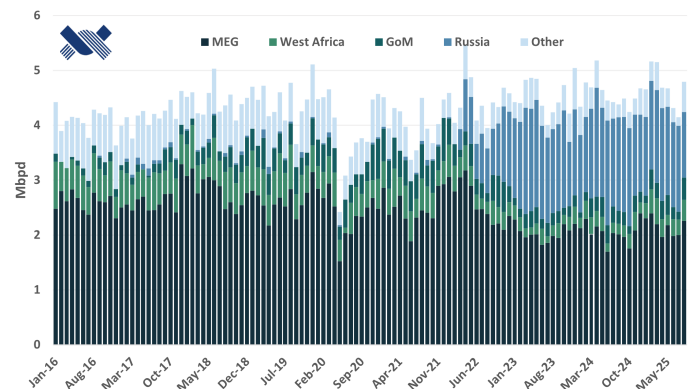
Source: Argus

Indian oil demand YTD has fared somewhat better than China's, but 1% growth y/y is hardly what most had expected at the beginning of this year. The July dip could be a one-off, and/or frontrunning of the usual July/August dip, but unless the underlying picture drastically picks up, there may not be that big a need for Indian refiners to keep bidding up spot cargoes from other than 'normal' sources.

India oil products demand



India crude oil sourcing



Source: Jodi, Vortexa

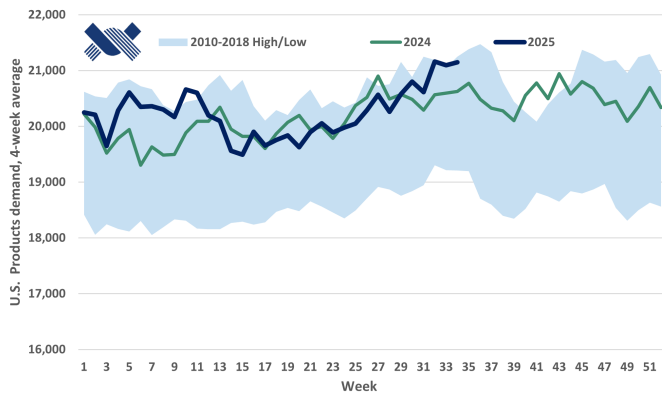
Will Atlantic barrels go East or remain in the region?

On the other hand, U.S. (and European) oil demand has held up better than expected YTD, and the U.S. hovers in the very high end of the historical range. As a result, also of declining shale production growth, U.S. inventories have kept drawing, albeit in line with the seasonal norm. This strong demand has also kept some Atlantic basin crude oil production growth consumed within the basin.

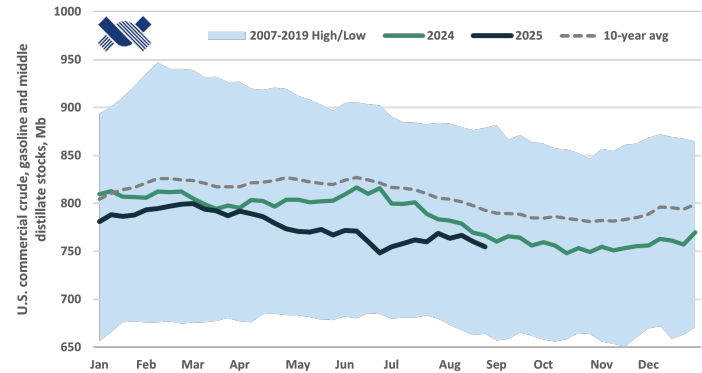
A risk for exports going forward is that if the WTI forward curve flips to contango, which it very well might considering

expected oil market balances, more crude may be kept for domestic inventory builds, as these are normally more directly linked to the shape of the forward curve.

U.S. implied total oil products demand



U.S. main oil products inventories



Source: EIA

What happens with (semi) shadow flows?

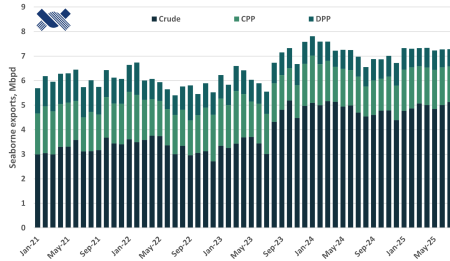
Russian seaborne exports have declined slightly YTD, but remain an important source of tanker tonne-miles - mainly due to India's uptake of the barrels which previously went to Europe. Given Trump's added tariffs on India there has been some market turmoil and speculation about what this may lead to. So far, commentary from India suggest there will be little change in crude sourcing, although those few more Atlantic cargoes have been secured short-term.

This may not move the needle other than giving a short boost to tonne-miles. If sustained, and especially if a shift is more pronounced, there could be some effects, but still it is not entirely clear which direction it will affect the market. A few key questions:

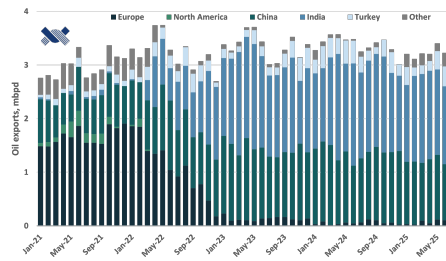
- How much less Russian oil may India take? (probably maximum 1 mbpd less considering long term agreements etc).
- How much will find alternative buyers? (China seems the main alternative taker, but it does not seem there is demand for a full 1 mbpd more - unless extremely cheap).
- How much will find its way to China on compliant tankers (so far, China's imports of Russian crude has to a greater extent used sanctioned tankers than has India's).
- How much less crude will China source from other areas (if they take up to 1 mbpd extra, inventories would be filled within a few months...) and where? (mostly shorter distance to India)
- Where will India source additional crude? (there is 1 mbdp extra coming from the MEG going forward - from which India used to purchase nearly 2/3rds of its crude oil - now only 45%)
- How much may Russia have to reduce exports by? (it is not like they can refine more considering Ukraine's recent attacks - although near-term exports are expected to rise following these attacks).

From this, it is not entirely clear that any shift away from Russia will be a positive for (compliant) tanker tonne-miles - it could more likely end up being a drag.

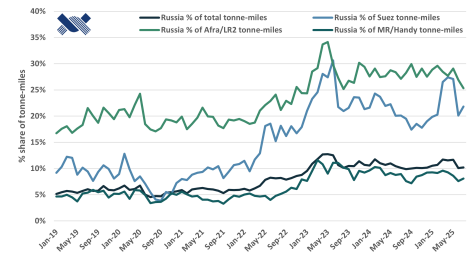
Russian exports down 300 kbpd y/y



Crude flow shift to India driven tonne-miles



Russia's share of global tonne-miles



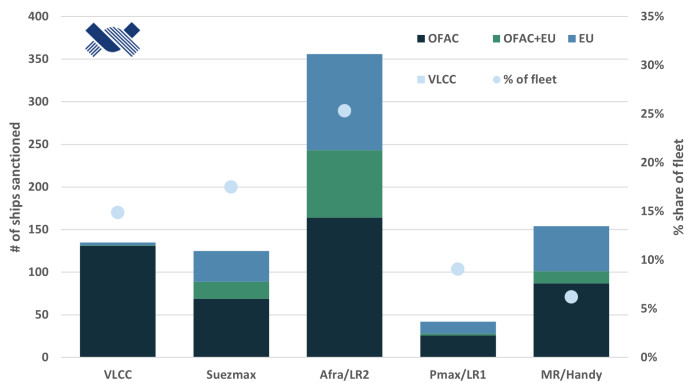
Source: Fearnleys, Vortexa

Have sanctions so far materially affected flows? Meh. Iranian exports are up more than 100 kbpd on average this year vs. last year, and the growth trend for Iran, Venezuela and Russia is intact, despite more than 15% of the tanker fleet having been sanctioned by the OFAC, EU and UK. The flow of Iranian and Venezuelan crude on OFAC listed tankers has hardly changed, but where there is a bigger impact is out of Russia.

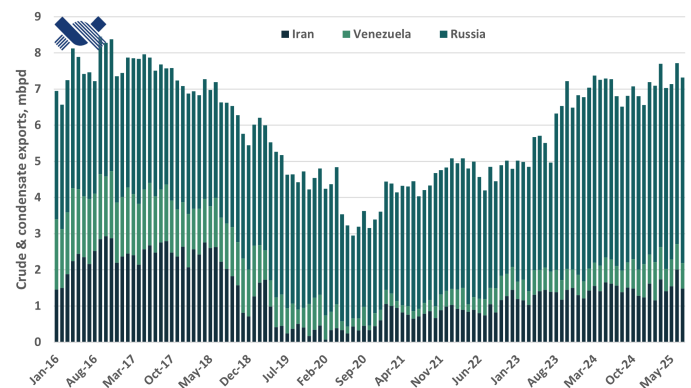
That means a greater share of Russian exports is carried by (semi) compliant tankers - only about one third of Russian Western exports is carried by sanctioned tankers, mainly those sanctioned by the EU and UK, whereas from Eastern Russia (to China) the use of sanctioned tonnage is much more common.

What if sanctions on Russia are eventually lifted, will a lot of tankers be scrapped to offset the decline in tonne-miles that may come from this? Maybe, but mainly if rates drop significantly... Otherwise, only about 3% of the fleet is sanctioned by the OFAC in relation to Russia, and 'only' 60% of these were built in 2007 or earlier and may thus be phase-out candidates. Otherwise, most should find some alternative employment.

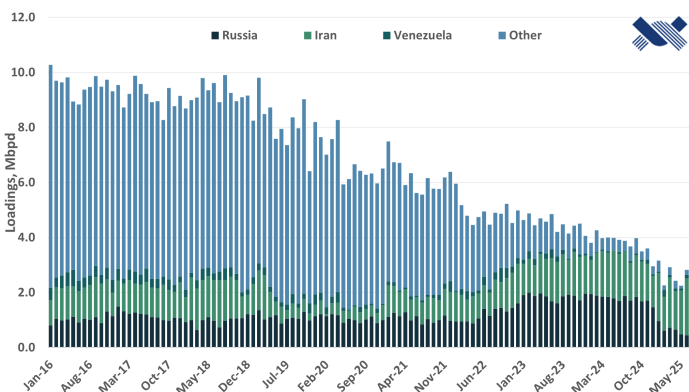
Sanctioned tankers



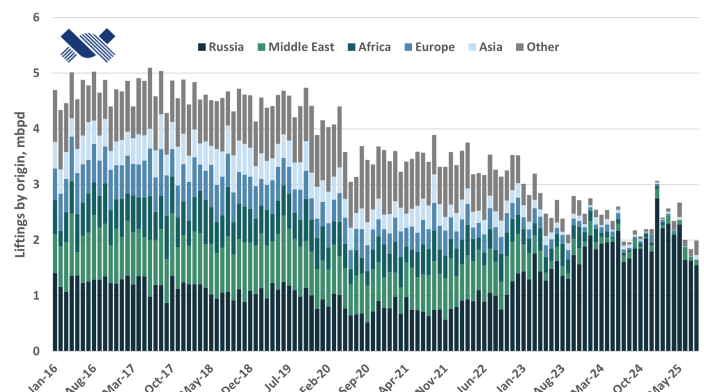
Sanctioned volumes still rising



Volumes on OFAC listed tankers



Volumes on EU&UK (only) listed tankers

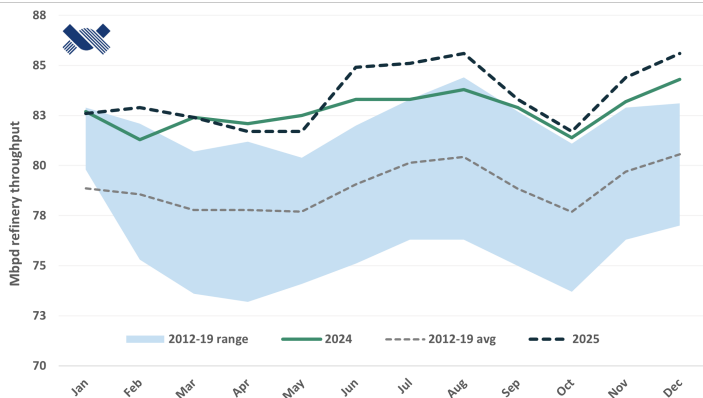


Source: Fearnleys, Vortexa, OFAC, EU, UK

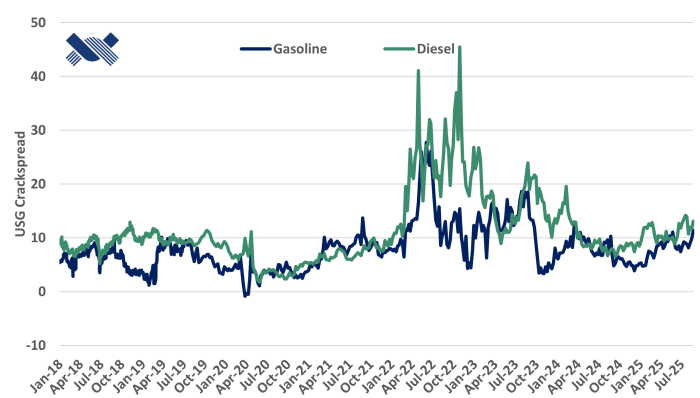
Refinery margin strength boosts product tankers, again

In its most recent report the IEA lifted its 2025 (and 2026) refinery run estimates by 240 kbpd driven by solid demand and refinery margins. The latter has also partly been supported by some outages in key areas, and a lighter crude slate in Europe. There is still expectations for a decent slump in runs over the next few months, which should give a shoulder season also for product tankers, but the outlook for the winter could again be strong - depending a bit how well crack spreads and some key arbs hold up. For now, the product tanker market is again well supported by high cracks and open long-haul arbitrages.

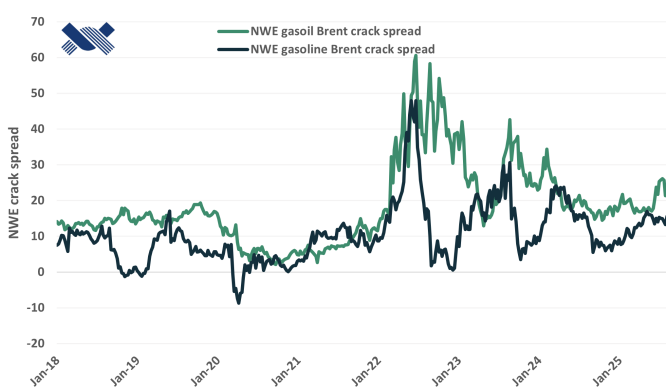
Global refinery run season



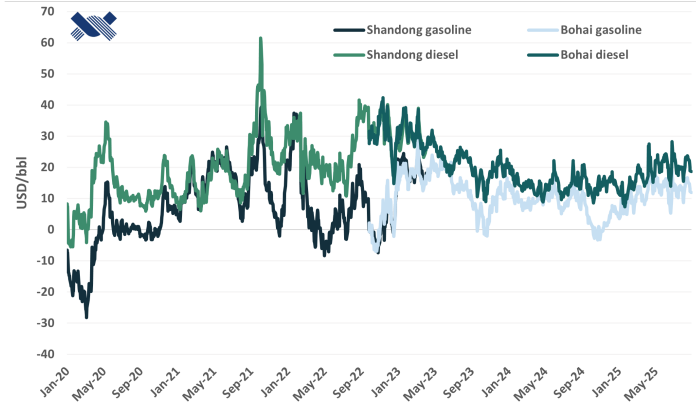
U.S. Gulf Coast crack spreads



Northwest Europe crack spreads



China Bohai crack spreads



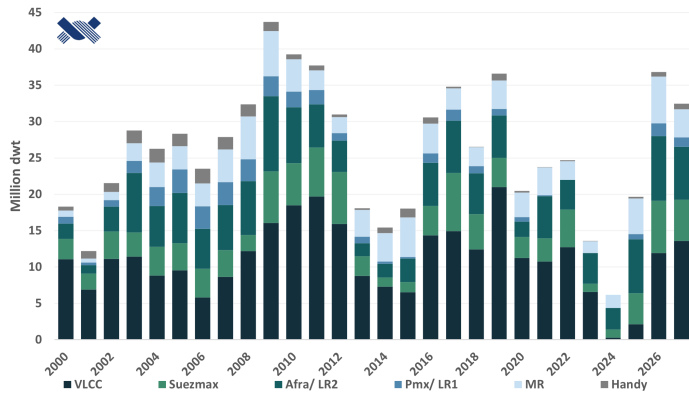
Source: IEA, EIA, Bloomberg, Argus

Deliveries about to accelerate, can all this be absorbed?

After two years of very low tanker fleet growth, deliveries are about to accelerate in coming months and years. From last year's negligible 0.8% net fleet growth, this year has already seen 1.2%, with another 1.5% scheduled to be delivered by year end - possibly more as many yards seem able to deliver ahead of schedule. This is still not a lot combined, but next year's scheduled 5.8% is - especially as rates are much too high to expect any meaningful phase-out. That will be followed by 5.1% scheduled deliveries in 2027 - again possibly more as there are a number of reported and rumoured orders which have not been finally confirmed yet.

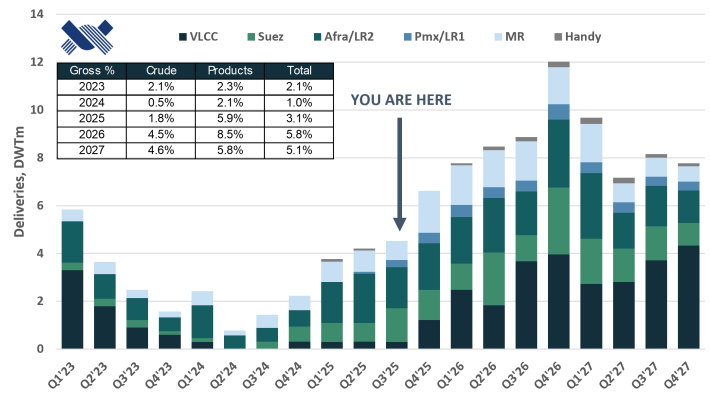
Quite a lot of fleet growth then - starting with 35% of this year's scheduled deliveries in the fourth quarter. Sure, oil supply additions will absorb some of this fleet growth near term, but then what..?

Historical and scheduled tanker deliveries



Source: Fearnleys

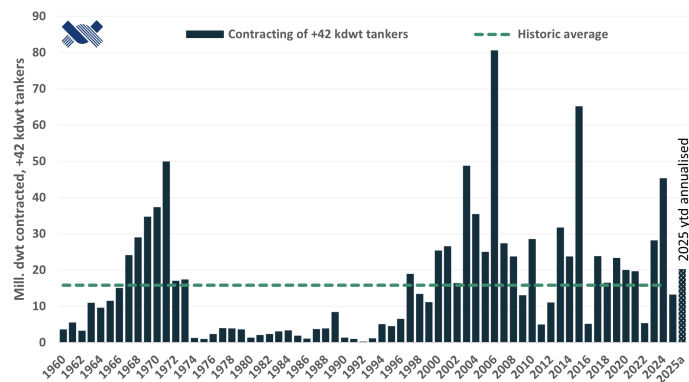
Tanker deliveries by quarter



Although the orderbook to fleet ratio has risen to close to 15%, orders keep piling in, with more to come. And, that may still be needed, due to the vast phase-out potential. The orderbook in dwt is matched by tonnage at or near historical phase-out age, but due to high earnings and alternative employment there has not been any meaningful phase-out. We do not foresee any meaningful phase-out the next year or two, unless earnings drop and/or there are some meaningful changes to sanctions. Eventually, however, phase-out will happen and fleet renewal is needed so the medium to longer term outlook is still relatively strong - meaning some limit to the downside potential.

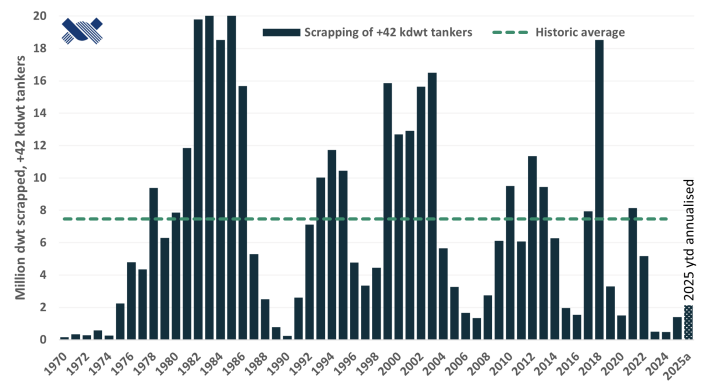
Owners seem to have taken note, and the YTD order intake still runs at an annualised level above the historical average. Demolition runs well below.

Tanker (+42k dwt) orders



Source: Fearnleys

Tanker (+42k dwt) demolition





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